

1. For the payment of tax, there is no direct return to the taxpayers. Which of the following characteristics is related to the idea?

- ☐ (A) Personal Obligation
- ☐ (B) Tax is a Compulsory Contribution
- ☐ (C) No Discrimination
- ☒ (D) Benefit is not the Basic Condition answer ✓

2. A fund used to account for the accumulation of resources for and the payment of, general long-term debt principal and interest is?

- ☐ (A) Special revenue fund
- ☐ (B) Capital project fund
- ☒ (C) Debt Service Funds answer ✓
- ☐ (D) Internal service fund

3. Which of the following funds would be most appropriate for accounting for an activity that provides goods or services to the public for a fee that is intended to make the activity self-supporting?

- ☐ (A) Investment trust fund.
- ☒ (B) Enterprise fund. answer ✓
- ☐ (C) Internal service fund.
- ☐ (D) Special revenue fund.

4. SHEGER City has installed sidewalks using special assessment debt. Special assessments paid over the next five years will be used to retire the debt. If property owners fail to pay the assessments the city is under no obligation to pay the assessments. Debt service related to the special assessment debt used to install the sidewalks should be recorded in what fund type?

- ☐ (A) Private-purpose trust fund.
- ☒ (B) Debt service fund. ✗
- ☐ (C) Agency fund. answer ✓
- ☐ (D) Capital projects fund.

5. Which of the following is true about imposing of tax for Beneficial Diversion of Resources?

- ☒ (A) The imposition of heavy duties on non-essential and luxury goods discourages the producers of such goods. **answer ✓**
- ☐ (B) Giving tax reduction or exemptions to small entrepreneurs and to the industries adopting labor-intensive techniques.
- ☐ (C) Announce various tax exemptions and reduction to that particular backward regions or states
- ☐ (D) Imposing heavy excise duties on the commodities like: liquors, cigars etc.

6. The main features of budgetary control are

- ☐ (A) Establishing budgets for each functional area
- ☐ (B) Recording actual performance of each functional area.
- ☐ (C) Analyzing the reasons of variances and identifying the persons responsible.
- ☒ (D) All **answer ✓**

7. Assume Mr. Rori rent his building for Birr 5000 per month in 2009 E.C fiscal year. What will be the annual rent income tax paid by Mr. Rori_____?

- ☐ (A) Br. 6540
- ☐ (B) Br 8220
- ☒ (C) Br 8370 **answer ✓**
- ☐ (D) Br 3000

8. Assume that Mankira Hotel unincorporated hotel business in bonga town has reported the Annual income of 730,500 birr earnings for the year ended Sene 30, 2011 EC. Then the amount of business income tax paid by the hotel manager for the year was_____?

- ☐ (A) 5000
- ☒ (B) 207,690 ✗
- ☐ (C) 237,675 answer ✓
- ☐ (D) 219,150

9. The Environmental Filter Company is planning to sell air filter systems for Birr2, 500 per unit. Variable costs are Birr 1,500 per unit and total fixed costs are Birr1, 000,000. What is the dollar value of sales necessary to break even?

- ☐ (A) Br 1,000,000
- ☒ (B) Br 2,500,000 answer ✓
- ☐ (C) Br 2,000,000
- ☐ (D) Br 5,000,000

10. The relevant decision-making information

- ☒ (A) Is the predicted future costs and revenues that will differ among the alternatives answer ✓
- ☐ (B) Costs or benefits that are the same across all the available alternatives
- ☐ (C) Future costs that do not differ between the alternatives at hand
- ☐ (D) Cost that has already been incurred and cannot be avoided

11. The extra cost from the loss in quantity that results when there is a change in the mix material or labor

- ☐ (A) Mix Variance
- ☐ (B) Yield variance answer ✓
- ☐ (C) Flexible budget variance
- ☒ (D) Price variance ✗

13. An unfavorable variance indicates that:

- ☐ (A) Actual costs are less than budgeted costs answer ✓
- ☐ (B) Budgeted revenues exceed actual revenues
- ☒ (C) The actual amount increased operating income relative to the budgeted amount ✗

14. An unfavorable flexible-budget variance for direct material costs may be the result of the following except:

- ☐ (A) Using more material quantities than were budgeted
- ☐ (B) paying higher prices for material inputs than were budgeted
- ☐ (C) selling output at a lower selling price than budgeted answer ✓
- ☒ (D) None of the above ✗

15. The following factors should not be considered to apply IPSAS to public sector, the entities?

- ☐ (A) Are responsible for the delivery of services to benefit the public and/or to redistribute income and wealth.
- ☐ (B) Mainly finance their activities, directly or indirectly, by means of taxes and/or transfers from other levels of government, social contributions, debt or fees.
- ☐ (C) Do not have a primary objective to make profits.
- ☒ (D) Private business and mainly operate for profit. answer ✓

16. Which of the following is/are not characteristics of capital projects funds?

- ☒ (A) Involve long-lived assets ✗
- ☐ (B) Usually involve a construction project
- ☐ (C) Usually require long-range planning and extensive financing
- ☐ (D) Year-to-year focus answer ✓

17. Which of the Taxes is levied by the federal government only?

- ☐ (A) Sales taxes and taxes on the incomes and profits of enterprises they jointly establish
- ☐ (B) Taxes on the profits of the corporations and on dividends paid to share holders
- ☒ (C) Customs duties, taxes and other payments on imports and exports answer ✓
- ☐ (D) Taxes on income derived from large-scale mining, petroleum and gas operations and royalties.

18. Which of the following is not correct about financial systems and their roles in economy

- ☐ (A) Facilitate Channeling of funds from surplus to deficit economic units
- ☐ (B) They Create liquidity and money
- ☐ (C) They are mainly market based in developing economies like Ethiopia. answer ✓
- ☒ (D) They channel household savings to the corporate sector and allocate investment funds among firms ✗

19. When price of the underlying asset is expected to decrease, then the good option is to:

- ☒ (A) Buy call option ✗
- ☐ (B) Sell a call option
- ☐ (C) Buy a put option answer ✓
- ☐ (D) Sell put option

20. Which of the following is depository financial institution in its category?

- ☒ (A) Money market Mutual funds answer ✓
- ☐ (B) Insurance companies
- ☐ (C) Pension funds
- ☐ (D) Finance companies

1. Of the following which one is not correct about Ethiopia's financial system

- ☐ (A) Ethiopia's financial system is largely dominated by one state owned commercial bank
- ☒ (B) Ethiopian financial system remains highly controlled with high rate of intervention from central government through NBE. ✗
- ☐ (C) The country does not have a securities market currently.
- ☐ (D) Financial regulation of the country allows foreign banks to enter the domestic banking through Acquisition and opening of branches. answer ✓

22. The assets of Commercial Banks generally comprises all of the following except:

- ☐ (A) Cash and deposits with other banks
- ☐ (B) Loans
- ☐ (C) Certificate of deposits answer ✓
- ☒ (D) Long term investments ✗

23. A type Yield curve in which interest rate on medium term debt securities is greater than both short term and long-term rate of interest is refers to:

- ☐ (A) Flat yield curve
- ☐ (B) Positively sloped yield curve
- ☐ (C) Inverted yield curve
- ☒ (D) Humped yield curve answer ✓

24. All of the following are major characteristics of money market instruments except :

- ☐ (A) High liquidity
- ☐ (B) Higher marketability
- ☐ (C) Low default risk
- ☒ (D) Higher return answer ✓

25. The exception rate that the auditor will permit in the population and still be willing to use the preliminary control risk assessment is called the:

- ☐ (A) Acceptable exception rate.
- ☐ (B) Estimated population exception rate
- ☐ (C) Sample exception rate.
- ☒ (D) Tolerable exception rate. answer ✓

26. At what point do most companies recognize liabilities in the acquisition and payment cycle when the goods are shipped FOB destination?

- ☒ (A) When the goods or services are received answer ✓
- ☐ (B) When the purchase order is issued
- ☐ (C) When the vendor acknowledges receipt of the order
- ☐ (D) When the vendor invoice is received

27. You are the in-charge auditor and are designing audit procedures for accounts payable. Which of the following management assertions would you normally be most concerned about?

- ☒ (A) Occurrence ✗
- ☐ (B) Accuracy
- ☐ (C) Completeness answer ✓
- ☐ (D) Existence

28. The auditor's primary concern in performing audit procedures of the write-off of uncollectible accounts relates to the risk that the client writes off customer accounts that have already been collected. The primary control for preventing this fraud is:

- ☐ (A) Examining authorized credit memos.
- ☐ (B) Examining the uncollectible account authorization form answer ✓
- ☐ (C) Examining debit memos.
- ☒ (D) Examining the vouchers payable register. ✗

29. An advantage of using statistical sampling techniques is that such techniques:

- ☒ (A) Mathematically measure risk **answer ✓**
- ☐ (B) Eliminate need for judgmental decisions.
- ☐ (C) Inadequacy of the samples.
- ☐ (D) Chances for biase

30. Measures and reports financial and non-financial information that helps managers makes decisions to fulfill the goals of an organization.

- ☒ (A) Management Accountings **answer ✓**
- ☐ (B) Cost accounting
- ☐ (C) Financial accounting
- ☐ (D) Non-financial accounting

31. Prime cost is:

- ☒ (A) The sum of direct materials and direct labor cost excluding all other costs **answer ✓**
- ☐ (B) The total of all cost items that can be directly charged to product units
- ☐ (C) The total cost incurred in producing a finished unit
- ☐ (D) The sum of the large cost items in a product cost

32. The process of charging factory overhead to work-in-process based on a predetermined application rate multiplied by actual input is known as:

- ☒ (A) Normal costing **x**
- ☐ (B) Actual costing
- ☐ (C) Standard costing **answer ✓**
- ☐ (D) Product costing

33. Bernard Company's budgeted manufacturing overhead is \$3,300,000. Overhead is allocated on the basis of direct labor hours. The budgeted direct labor hours for the period are 60,000. What is the manufacturing overhead rate?

- ☐ (A) 47
- ☐ (B) \$75.00
- ☐ (C) \$56.00
- ☒ (D) \$55.00 answer ✓

34. Activity-based costing:

- ☐ (A) Uses a plant-wide overhead rate to assign overhead
- ☐ (B) Is not expensive to implement
- ☐ (C) Typically applies overhead costs using direct labor-hours
- ☒ (D) Uses multiple activity rates answer ✓

35. In a job-costing system, a manufacturing firm typically uses an indirect-cost rate to estimate the _____ allocated to a job.

- ☐ (A) Direct materials
- ☐ (B) Direct labor
- ☒ (C) Manufacturing overhead costs answer ✓
- ☐ (D) Total costs

36. Process of accounting and recording the full costs of a government service by including its indirect costs or "overhead" in addition to its direct costs.

- ☒ (A) Cost allocation answer ✓
- ☐ (B) Indirect costs
- ☐ (C) Overhead costs
- ☐ (D) Direct costs

37. The ABC partnership company reports net income of \$120,000 if partners A, B and C have an income ratio of 5:3:2 respectively and if the ratios are applicable after each partner receives a \$20,000 salary allowance B's share of the net income is

- ☐ (A) \$50,000
- ☐ (B) \$32,000
- ☒ (C) \$38,000 answer ✓
- ☐ (D) \$19,000

38. What is net pay during payroll preparation?

- ☒ (A) It is the difference between gross salary and total deductions answer ✓
- ☐ (B) It is the difference between basic salary and total deductions
- ☐ (C) It is the sum of all deductions
- ☐ (D) it is the sum of all earnings

39. Depreciation

- ☐ (A) Measures the decline in market value of an asset.
- ☐ (B) Measures physical deterioration of an asset.
- ☒ (C) Is the process of allocating to expense the cost of a plant asset. answer ✓
- ☐ (D) B. Is an outflow of cash from the use of a plant asset.

40. If the beginning inventory is 400 units @ 20 per unit. Purchase is 200 units @ 25 per unit and sold 250 units. Find out the value of ending inventory by FIFO method.

☐ (A) 8,750

☒ (B) 8,000 **answer ✓**

☐ (C) 7,000

☐ (D) 7,500



41. In which of the following cost flow assumptions the same unit cost is used to value ending inventory and cost of goods sold?

☒ (A) Average cost **answer ✓**

☐ (B) Specific identifications

☐ (C) LIFO

☐ (D) FIFO

42. The declining-balance method of depreciation produces

☒ (A) A decreasing depreciation expense each period. **answer ✓**

☐ (B) An increasing depreciation expense each period

☐ (C) A declining percentage rate each period

☐ (D) A constant amount of depreciation expense each period.

43. If a fully depreciated plant asset is discarded,

☐ (A) Only a gain on disposal can occur.

☐ (B) Only a loss on disposal can occur

☐ (C) Either a gain or a loss can occur.

☒ (D) Neither a gain nor a loss can occur. **answer ✓**

44. If the Cost of the plant is 400,000, the salvage value is 40,000 and if it's estimated useful life is 4 years. What will be the amount of depreciation according to sum of years digits method in the first year?

- ☐ (A) 250,000
- ☐ (B) 125,000
- ☒ (C) 144,000 answer ✓
- ☐ (D) 90,000

45. Which transaction affects partnership total assets and total capital balance?

- ☐ (A) Payment from partnership assets when a partner withdraws
- ☐ (B) Purchasing an interest from existing partners during admission of a new partner
- ☒ (C) All will affect except B answer ✓

46. If Sultan and Tasew agrees to form a partnership by combining their sole proprietorship business; and Sultan agrees to invest equipment with book value of 20,000 and market value of 25,000; then the journal entry to record Sultan's investment will be;

- ☐ (A) Debit cash 25,000 & credit Sultans's capital 25,000
- ☐ (B) Debit equipment 20,000 & credit Sultans's capital 20,000
- ☒ (C) Debit equipment 25,000 & credit Sultan's capital 25,000 answer ✓
- ☐ (D) Debit Sultan's capital 25,000 and credit equipment 20,000, gain on equipment exchange 5000

47. Auditor is performing substantive tests of balances for accounts payable. What documentation would provide the best evidence for the ending balance?

- ☐ (A) Vendors' invoices
- ☐ (B) Vendors' statements answer ✓
- ☒ (C) Receiving reports ✗
- ☐ (D) Purchase orders

48. Which of the following is the risk that audit tests will not uncover existing exceptions in a sample?

- ☐ (A) Sampling risk
- ☒ (B) Non-sampling risk answer ✓
- ☐ (C) Audit risk
- ☐ (D) Detection risk

49. To determine if a sample is truly representative of the population, an auditor would be required to:

- ☐ (A) Conduct multiple samples
- ☐ (B) Never use sampling b/c of the expense.
- ☐ (C) Audit the entire population. answer ✓
- ☒ (D) Use systematic sample selection. ✗

50. One of the ways to eliminate non sampling risk is through:

- ☐ (A) Proper supervision and instruction of the client's employees.
- ☐ (B) Proper supervision and instruction of the audit team. answer ✓
- ☐ (C) The use of attributes sampling rather than variables sampling.
- ☒ (D) Controls which ensure that the sample drawn is random and representative ✗

51. Paying interest reduces the taxes owed by a firm. Which one of the following terms applies to this relationship?

- ☐ (A) Static theory of interest rates
- ☐ (B) Financial risk
- ☒ (C) M&M Proposition I ✗
- ☐ (D) Interest tax shield answer ✓

52. Which one of the following is the theory that a firm should borrow up to the point where the additional tax benefit from an extra dollar of debt equals the additional costs associated with financial distress from that additional debt?

- ☐ (A) M&M Proposition I, with taxes
- ☒ (B) Static theory of capital structure answer ✓
- ☐ (C) M&M Proposition I, without taxes
- ☐ (D) M&M Proposition II, with taxes

53. When a high percentage of total costs are fixed, the firm is said to have a high degree of

- ☐ (A) Demand variability
- ☐ (B) Foreign risk exposure
- ☒ (C) Operating leverage answer ✓
- ☐ (D) Financial leverage

54. A payment of either cash or stock out of a corporation's earnings to a firm's owners is called a(n):

- ☒ (A) Dividend answer ✓
- ☐ (B) Retained distribution
- ☐ (C) Normal distribution
- ☐ (D) Repurchases

55. If a firm maintains its preferred debt-equity ratio and pays dividends only after meeting its investment needs, the firm is following a dividend policy which is referred to as a ____ dividend policy

- ☐ (A) Stable
- ☐ (B) Constant
- ☐ (C) Remainder
- ☒ (D) Residual answer ✓

56. What is the name given to a transaction wherein a firm buy some of its own outstanding shares of stock?

- ☐ (A) Stock payout
- ☐ (B) Reverse distribution
- ☒ (C) Repurchase answer ✓
- ☐ (D) Stock dividend

57. The following procedures may be used in predicting financial forecasting, except one

- ☒ (A) costs associated with inventory manufactured answer ✓
- ☐ (B) Projection of Organization's sales revenues
- ☐ (C) Estimation of the level of investments in current assets and fixed assets
- ☐ (D) Determination of the organization's financing needs & sources of funds

58. The key initial element in developing pro forma statements is:

- ☐ (A) Cash budget
- ☒ (B) Sales forecast answer ✓
- ☐ (C) Collection schedule.
- ☐ (D) Income statement

59. A management assertion category which asserts whether particular components of an account is properly classified and disclosed is _____?

- ☐ (A) Valuation
- ☒ (B) presentation and disclosure answer ✓
- ☐ (C) Existence and occurrence
- ☐ (D) Right and obligations

60. An audit objective which address whether all assets recorded really exist on the balance sheet date is called___?

- ☒ (A) Completeness answer ✓
- ☐ (B) cut off
- ☐ (C) Existence
- ☐ (D) Accuracy

61. Evaluation of financial information made by a study of relationships between financial and non-financial data is:

- ☐ (A) Performance
- ☐ (B) Inquiries of the client
- ☒ (C) Analytical Procedure answer ✓
- ☐ (D) Observation

62. Which of the following factors did not affect the sufficiency of evidence?

- ☐ (A) The auditor's expected misstatement Past trends
- ☒ (B) Effectiveness of internal control ✗
- ☐ (C) Inherent risks answer ✓

63. Evidence is said to be sufficient if__?

- ☐ (A) The samples are too large
- ☐ (B) The samples are too small
- ☒ (C) The samples are neither too large nor too small answer ✓
- ☐ (D) Sample size and sufficiency are not related

64. In which Standard unqualified audit report part that the auditors conclusion of the results of the audit stated?

- ☐ (A) Report title
 - ☒ (B) Opinion paragraph answer ✓
 - ☐ (C) Scope paragraph
 - ☐ (D) Introductory paragraph
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65. One of the following types of ratio uses all current assets except inventory for measuring the liquidity of the firm___?

- ☐ (A) Quick ratio
 - ☒ (B) Cash Ratio answer ✓
 - ☐ (C) Acid test ratio
 - ☐ (D) Current ratio
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66. What is the primary goal of financial management__?

- ☐ (A) Increased earnings
 - ☐ (B) Maximizing cash flow
 - ☒ (C) Maximizing shareholder wealth answer ✓
 - ☐ (D) Minimizing risk of the firm
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67. Which of the following is not considered a characteristic of a liability?

- ☐ (A) Unavoidable obligation.
- ☐ (B) Present obligation that entails settlement by probable future transfer or use of cash, goods, or services.
- ☒ (C) Recorded and reported in financial statements at their full maturity value answer ✓
- ☐ (D) Transaction or other event creating the liability has already occurred.

68. Which of the following terms is associated with recognizing a Contingent asset?

☐ (A) Possible but not probable.

☐ (B) Virtually certain **answer ✓**

☒ (C) Remote **x**

☐ (D) Probable

69. The amortization of a discount on bonds payable

☒ (A) Results in the excess of bond interest expense over cash payment. **x**

☐ (B) Increases the amount of interest expense reported. **answer ✓**

☐ (C) Decreases the carrying amount of the bond.

☐ (D) Increases the cash payment to bondholders

70. Broker's commissions and other fees incidental to the purchase of Equity securities and Bond issuance costs, should be:

☒ (A) Expensed in the period when incurred. **answer ✓**

☐ (B) Recorded as a reduction in the carrying value of the securities.

☐ (C) Amortized over the life of the securities.

☐ (D) All of the above

71. In a debt extinguishment in which the debt is settled by a transfer of assets with a fair value greater than the carrying amount of the debt, the debtor would recognize:

- ☐ (A) No gain or loss on the settlement.
- ☐ (B) Gain on the settlement.
- ☒ (C) Loss on the settlement answer ✓
- ☐ (D) None of the above

72. When a company has acquired a "passive interest" in another corporation, the acquiring Company should account for the investment by using:

- ☐ (A) The equity method
- ☒ (B) The fair value method answer ✓
- ☐ (C) The Consolidation method
- ☐ (D) Effective interest method

73. Which of the following is a correct statement of one of the capitalization criteria?

- ☐ (A) The lease transfers ownership of the property to the lessor.
- ☐ (B) The lease contains a bargain purchase option to be reasonably exercised by lessee. answer ✓
- ☐ (C) The lease term is equal to or more than 90% of the estimated economic life of the leased property.
- ☒ (D) The present value of lease payments equal or exceed 75% of the fair value of the leased property ✗

74. Under the equity method, how is the investment in the joint venture reported on the balance sheet?

- ☐ (A) As a fixed asset
- ☒ (B) As a current asset ✗
- ☐ (C) As an investment answer ✓
- ☐ (D) As a liability

75. How are transactions between a branch and its parent company recorded?

- ☐ (A) As transactions between two independent entities
- ☒ (B) As intercompany transactions answer ✓
- ☐ (C) Not recorded at all
- ☐ (D) Recorded only when payment is received or made

76. How should branch financial statements be prepared?

- ☐ (A) Include only transactions originating from the branch.
- ☐ (B) Include all income and expenses incurred by the parent company in addition to those of the branch.
- ☒ (C) Prepare separate financial statements for each department within the branch. ✗
- ☐ (D) Prepare consolidated financial statements for the parent company and the branch answer ✓

77. According to IFRS 3, which of the following does NOT constitute a business combination?

- ☐ (A) A merger between two companies
- ☐ (B) The acquisition of a controlling interest in a company
- ☐ (C) The acquisition of a non-controlling interest in a company
- ☒ (D) The acquisition of assets that do not constitute a business answer ✓

78. How should goodwill arising from a business combination be measured under IFRS?

- ☐ (A) At cost
- ☒ (B) At fair value answer ✓
- ☐ (C) At net realizable value
- ☐ (D) At historical cost

79. Which of the following methods is used to calculate the consideration transferred in a business combination under IFRS 3?

- ☐ (A) Historical cost method
- ☒ (B) Fair value method answer ✓
- ☐ (C) Equity method
- ☐ (D) Amortized cost method

80. Under IFRS 3, how should contingent consideration be recognized?

- ☒ (A) It should be recognized as a liability at fair value at the acquisition date answer ✓
- ☐ (B) It should be recognized as equity at fair value at the acquisition date
- ☐ (C) It should not be recognized until the contingency is resolved
- ☐ (D) It should be recognized as an expense in the period in which it is incurred

81. In a business combination, which of the following will occur?

- ☒ (A) All identifiable assets and liabilities are recorded at fair value at the date of acquisition answer ✓
- ☐ (B) All identifiable assets and liabilities are recorded at book value at the date of acquisition
- ☐ (C) Goodwill is recorded if the fair value of the net assets acquired exceeds the book value of the net assets acquired
- ☐ (D) None of the above is correct

82. In a business combination, when the fair value of identifiable net assets acquired exceeds the investment cost, which of the following statements is correct?

- ☒ (A) A gain from a bargain purchase is recognized by the amount that the fair value of the identifiable net assets acquired exceeds the acquisition prices **answer ✓**
- ☐ (B) A gain from a bargain purchase is recognized by the amount that the acquisition prices exceed the fair value of the identifiable net assets
- ☐ (C) A goodwill is recognized by the amount that the fair value of the identifiable net assets acquired exceeds the acquisition prices
- ☐ (D) A goodwill is recognized by the amount that the acquisition prices exceed the fair value of the identifiable net assets

83. A business merger differs from a business consolidation because:

- ☒ (A) A merger dissolves all but one of the prior entities, but consolidation dissolve all of the prior entities **answer ✓**
 - ☐ (B) A consolidation dissolves all but one of the prior entities, but a merger dissolves all of the prior entities
 - ☐ (C) A merger is created when two entities join, but a consolidation is created when more than two entities join
 - ☐ (D) A consolidation is created when two entities join, but a merger is created when more than two entities join
-

84. The revenue recognition principle provides that revenue is recognized when:

- ☐ (A) It is realized.
- ☐ (B) It is realizable.
- ☒ (C) It is realized or realizable and it is earned. **answer ✓**
- ☐ (D) None of the above

85. Each of the following is an example of non-cash activity except:

- ☐ (A) Conversion of bonds into ordinary shares.
- ☐ (B) Exchanges of plant assets.
- ☒ (C) Issuance of debt security answer ✓
- ☐ (D) Stock dividends.

86. Lending money and collecting the loans are reported in cash flows from:

- ☐ (A) Operating activities.
- ☐ (B) Investing activities. answer ✓
- ☒ (C) Financing activities. ✗
- ☐ (D) B and C are correct

87. Which type of accounting change should always be accounted for in current and future periods?

- ☐ (A) Change in accounting principle
- ☐ (B) Change in reporting entity
- ☒ (C) Change in accounting estimate answer ✓
- ☐ (D) Correction of an error

88. Recognition of tax benefits in the loss year due to a loss carry-forward requires

- ☐ (A) The establishment of a deferred tax liability
- ☒ (B) The establishment of a deferred tax asset. answer ✓
- ☐ (C) The establishment of an income tax refund receivable.
- ☐ (D) Only disclosure in a note to the financial statements.

89. Travel Air emerging regional airline, earns 6 percent on total assets but has a turnover on equity of 24 percent. What percent of the air line's assets are financed with debt?

- ☐ (A) 30%
- ☒ (B) 75% answer ✓
- ☐ (C) 25%
- ☐ (D) 70%

90. Chala Company has current ratio of 2.2 times, acid test ratio of 1.4 times and inventories of birr 55,000. What will be its current assets?

- ☐ (A) 90,000
- ☐ (B) 155,000
- ☒ (C) 151,250 answer ✓
- ☐ (D) 68,750

91. What is the dividend growth rate for a stock given that the current dividend is \$3.62 per share, the required return is 4.5%, and the stock price is \$122.06 per share?

- ☐ (A) 0.92%
- ☒ (B) 1.49% answer ✓
- ☐ (C) 1.86%
- ☐ (D) 2.41%

92. Which is not the advantage of issuing bonds?

- ☐ (A) Less floating costs
- ☐ (B) Results in payment of fixed charges answer ✓
- ☐ (C) Absence of voting right
- ☒ (D) non-participation of bondholders in extraordinary profits ✗

93. The trial balance:

- ☐ (A) Proves the complete accuracy of accounting records :
- ☐ (B) Tests the equality of debits and credits in the ledger
- ☐ (C) Recording the same transaction more than once does not cause an inequality in the trial balance.
- ☒ (D) B and C are correct. answer ✓

94. Identify the incorrect statement about the accrual basis of accounting

- ☐ (A) Revenue is recognized in the period in which it is earned
- ☒ (B) Revenue is recorded only when cash is received, and expense is recorded only when cash is paid. ✗
- ☐ (C) This basis (method) is in accord with generally accepted accounting principles answer ✓
- ☐ (D) None of the above.

95. Which of the following accounts would be closed to the income summary account at the end of a period?

- ☐ (A) salary expense
- ☒ (B) both sales and salary expense answer ✓
- ☐ (C) Sales
- ☐ (D) Neither sales nor salary expense.

96. If the building account has a balance of Birr 85,000 and its accumulated depreciation account has a balance of Birr 34,000 the book value of the equipment is:

- ☐ (A) Birr 85,000
- ☒ (B) Birr 51,000 answer ✓
- ☐ (C) Birr 119,000
- ☐ (D) birr 34,000

97. If merchandise is sold on account to a customer for birr 1,000, terms FOB shipping point, 1/10, n/30, and the seller prepays birr 50 in transportation costs, the amount of the discount for early payment would be:

- ☐ (A) Birr 100
 - ☒ (B) Birr 10.00 answer ✓
 - ☐ (C) Birr 5.00
 - ☐ (D) Birr 10.50
-

98. In preparing a bank reconciliation, the amount of checks outstanding would be:

- ☐ (A) Added to the cash balance according to the bank statement.
 - ☒ (B) Deducted from the cash balance according to the bank statement. ✗
 - ☐ (C) Added to the cash balance according to the depositor's records.
 - ☐ (D) Deducted from the cash balance according to the depositor's records. answer ✓
-

99. At the end of the fiscal year, before the accounts are adjusted, Accounts Receivable has a balance of birr 200,000 and Allowance for Doubtful Accounts has a credit balance of birr 2,500. If the estimate of uncollectible accounts determined by aging the receivables is birr 8,500, the amount of uncollectible accounts expense is:

- ☐ (A) Birr 2,500
 - ☐ (B) Birr 8,500
 - ☒ (C) Birr 6,000 answer ✓
 - ☐ (D) Birr 11,000
-

100. What is the due date of a \$12,000, 90-day, and 8% note receivable dated August 5?

- ☐ (A) 31-Oct
- ☒ (B) 3-Nov answer ✓
- ☐ (C) November 2
- ☐ (D) November 4

101. Assume w/ro Genet has a supermarket, known as Genet supermarket in Chiro, and she has a mini market in Bedessa. W/ro Genet takes soap, oil, and onion from the supermarket to the minimarket without separate record. Which of the following concept of GAAP is violated by w/ro Genet_____?

- ☐ (A) Cost principle
- ☐ (B) Going concern assumption
- ☒ (C) Business entity concept answer ✓
- ☐ (D) Money measurement concept

102. Working capital management involves investment and financing decisions related to:

- ☐ (A) Plant and equipment and current liabilities.
- ☐ (B) Sales and credit
- ☒ (C) Current assets and current liabilities answer ✓
- ☐ (D) Current assets and capital structure.

103. The goal of managing working capital, such as inventory, should be to minimize the:

- ☒ (A) Aggregate of carrying and shortage costs answer ✓
- ☐ (B) Costs of carrying inventory
- ☐ (C) Opportunity cost of capital
- ☐ (D) Amount of spoilage or pilferage

104. Commercial paper is essentially

- ☐ (A) Another term for a junk bond.
- ☒ (B) A short-term unsecured corporate IOU. answer ✓
- ☐ (C) An intermediate-term corporate bond.
- ☐ (D) A certificate that may be exchanged for a share of common stock at a specified future date.

105. A policy where all of the fixed assets, all of the permanent current assets, and some of the temporary current assets of a firm are financed with long-term capital

- ☐ (A) Aggressive approach
- ☐ (B) Self-liquidating approach
- ☐ (C) Maturity matching
- ☒ (D) Conservative approach answer ✓

106. Which of the following documents is not commonly associated with the "cash receipts" class of transactions?

- ☐ (A) Remittance advice
- ☒ (B) Sales order answer ✓
- ☐ (C) Prelisting of cash receipts
- ☐ (D) Cash receipts journal or listing

107. Which of the following is not correct about lending and borrowing in financial system?

- ☐ (A) If current expenditure exceeds current income receipts, the difference can be made up by reducing holding of financial assets.
- ☐ (B) If current income receipt exceeds current expenditure, the difference can be made up by issuing financial assets (debt or stock) answer ✓
- ☒ (C) If current income receipts exceed current expenditure, the difference can be made up by increasing/build up holding of financial assets. ✗
- ☐ (D) Surplus economic units are economic agents with excess of current income receipt over current expenditure

108. Which of the following cannot be considered as core objectives of financial system regulation?

- ☐ (A) Protecting the public and the economy from financial panics
- ☒ (B) To impede competition among financial institutions answer ✓
- ☐ (C) Protecting depositors who have placed funds on financial sector
- ☐ (D) To enhance public confidence in the financial sector

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End Of The Question!

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